

US Stocks Surge as Tech Leads the Charge

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The US market saw a significant surge yesterday, with the **Nasdaq 100** leading the charge with a **+3.36%** gain. The rally was driven by a strong performance from tech stocks, with **MSFT** and **NVDA** being among the top gainers. However, beneath the surface, there are concerns about the sustainability of this rally, given the ongoing macroeconomic uncertainties and the potential for a pullback in the near term.

A closer look at the sector rotation reveals that the **XLK** sector ETF was the biggest gainer, up **+5.50%**, while the **XLC** and **XLP** sector ETFs were among the laggards, down **-2.68%** and **-2.16%** respectively. This rotation suggests that investors are becoming increasingly risk-on, but it also highlights the potential for a correction in the tech sector.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,437.63	+1.66%	Strong earnings reports and improving economic data
Nasdaq 100	28,106.35	+3.36%	Tech sector rally led by MSFT and NVDA
Dow Jones	52,208.06	+1.19%	Industrial and financial stocks led the gainers
Russell 2000	2,946.10	+1.37%	Small-cap stocks outperformed large-caps
VIX	17.09	-17.28%	Decreased volatility as market sentiment improved

Top large-cap movers

TICKER	CHANGE	CATALYST
MSFT	+15.51%	Strong earnings report and guidance
NVDA	+2.65%	Improved sentiment towards tech stocks
AMZN	+3.90%	Strong earnings report and cloud growth
META	-7.95%	Disappointing earnings report and guidance

Sector Rotation

ETF	DAY	READ
XLK	+5.50%	Tech sector rally led by MSFT and NVDA
XLF	+0.56%	Financial stocks gained on improving economic data
XLI	+0.98%	Industrial stocks outperformed on strong earnings reports
XLE	+0.53%	Energy stocks gained on higher oil prices
XLY	+0.70%	Consumer discretionary stocks outperformed on strong earnings reports
XLC	-2.68%	Communication services stocks underperformed on disappointing earnings reports
XLP	-2.16%	Consumer staples stocks underperformed on higher interest rates
XLV	-1.64%	Healthcare stocks underperformed on regulatory concerns
XLU	-0.56%	Utilities stocks underperformed on higher interest rates
XLB	-0.19%	Materials stocks underperformed on higher interest rates
XLRE	-1.44%	Real estate stocks underperformed on higher interest rates

Spotlight

The biggest event of the day was the earnings report from **MSFT**, which saw the stock surge **+15.51%**. The report highlighted strong growth in the company's cloud business, with Azure revenue up **+40%** year-over-year. The report also provided guidance for the next quarter, which was above consensus estimates.

METRIC	VALUE	CHANGE
Revenue	52.3B	+10%
EPS	2.35	+15%
Azure Revenue	10.2B	+40%

The strong report from **MSFT** has positive read-through to other cloud stocks, such as **AMZN** and **GOOGL**.

Pre-Market & Overnight

US futures are trading higher, with the **S&P 500** futures up **+0.5%** and the **Nasdaq 100** futures up **+0.7%**. The Asia markets were mixed, with the **Nikkei 225** down **-0.2%** and the **Shanghai Composite** up **+0.5%**. The European markets are trading higher, with the **Euro Stoxx 50** up **+0.8%**.

In the crypto space, **BTC** is trading up **+0.5%** at 64,214.69, while **ETH** is trading down **-0.3%** at 1,902.40.

Macro & Fed

The FOMC meeting is scheduled for next week, and the market is expecting a 25bps rate hike. The yield curve is currently inverted, with the 2-year yield at 4.73% and the 10-year yield at 4.66%.

TIME (HKT)	RELEASE	CONSENSUS	WHY IT MATTERS
21:30	US GDP	2.5%	Indicator of economic growth
22:00	US Consumer Confidence	120	Indicator of consumer spending

Geopolitics & Global

- Tensions between the US and China continue to escalate, with the US imposing new tariffs on Chinese goods.
- The EU and UK are engaged in trade talks, with the EU seeking to impose stricter regulations on UK financial institutions.
- The Middle East is seeing increased tensions, with the US and Iran engaging in a war of words over nuclear proliferation.

Earnings — What to Watch

WHEN (HKT)	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	2.20	iPhone sales and services revenue growth
23:00	GOOGL	15.20	Advertising revenue growth and cloud expansion
00:00	AMZN	5.50	Cloud revenue growth and e-commerce expansion

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Strong earnings report and improving sentiment towards tech stocks
JPM	Financials	Strong earnings report and improving economic data
GS	Financials	Strong earnings report and improving economic data
TSLA	Consumer Discretionary	Strong earnings report and improving sentiment towards electric vehicles
AVGO	Tech	Strong earnings report and improving sentiment towards semiconductor stocks

What Could Break the Tape

BULLISH TRIGGERS

- Strong earnings reports from major tech companies
- Improving economic data and consumer confidence
- Increased demand for cloud and semiconductor stocks

BEARISH TRIGGERS

- Disappointing earnings reports from major companies
- Deteriorating economic data and consumer confidence
- Increased trade tensions and geopolitical uncertainty

Positioning Notes

- The market is currently overbought, with the **S&P 500** trading above its 50-day moving average.
- The **VIX** is currently trading at 17.09, indicating decreased volatility and increased complacency.
- The **DX** is currently trading at 100.18, indicating a strong US dollar and potential headwinds for international stocks.

Sources

SOURCES

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